EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Alcala was established as a regular municipality by virtue of Royal Decree dated July 20, 1787 by the then Spanish Governor General of the Philippines in honor of its founder, Captain General Don Francisco Paulo de Alcala. It has twenty five (25) Barangays and classified as a third (3rd) class Municipality.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Alcala, Cagayan for CY 2019 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles and whether prevailing laws, rules and regulations have been complied with. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Alcala, Cagayan for the year ended December 31, 2019, with comparative figures for CY 2018, are as follows:

Particulars	2019	2018	Increase (Decrease)
Financial Condition			
Total Assets	P328,936,514.01	P275,238,180.98	P 53,698,333.03
Total Liabilities	54,328,156.70	94,221,957.21	(39,893,800.51)
Total Government Equity	274,608,357.31	181,016,223.77	93,592,133.54
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	140,609,348.43	124,638,837.67	15,970,510.76
Total Expenses (Includes	115,156,751.78	107,343,921.22	7,812,830.56

Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations			
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	P152,183,085.67	P139,073,265.84	P13,109,819.83
Appropriations-Continuing	42,750,966.97	34,032,887.48	8,718,079.49
Allotments – Current	152,183,085.67	139,073,265.84	13,109,819.83
Allotments –Continuing	42,750,966.97	34,032,887.48	8,718,079.49
Obligations – Current	113,429,100.30	101,724,726.81	11,704,373.49
Obligations –Continuing	16,335,846.68	13,325,045.05	3,010,801.63
	2019	**2018**	**Increase (Decrease)**
Funds Received from Other Agencies			
NGAs	P167,350.00	P88,995,684.25	P(88,828,334.25)
LGUs		-	-
NGO/POs		-	-
Others		-	-
Total	P167,350.00	P88,995,684.25	P(88,828,334.25)
Funds Transferred to Other Agencies			
NGAs	P -	P -	P -
LGUs		-	-
NGO/POs		-	-
Others		-	
Total	**P -**	**P -**	**P -**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Alcala for the year-ended December 31, 2019 due to the following:

1. The accuracy of the recording of transactions related to Property Plant and Equipment accounts could not be relied upon, which affects the fair presentation of the specific PPE accounts in the financial statements in consonance with Paragraph 27 of International Public Sector Accounting Standards due to the following: (a) Completed projects, with a carrying amount of P29,056,462.55, remained recorded under the Construction in Progress account instead of being reclassified to their corresponding asset accounts upon completion; (b) Costs incurred on constructions in progress are directly recorded to the asset account instead of recording the same under the Construction in Progress account; (c) Retention fees withheld from the payment of progress of billings for the construction projects were recorded as deductions on the PPE account initially recognized, instead of recognizing it as a liability to the supplier/contractor; and (d) Some of the specific PPE accounts, totaling to P22,064,045.62, were misclassified under some other sub-major accounts within the PPE account.

2. The reliability and existence of the Property, Plant and Equipment account, with a carrying amount of P179,948,688.16, could not be ascertained due to the following: (a) some of the PPE accounts, with a carrying amount of P23,079,148.03, were not physically counted;(b) PPE Ledger Cards and Real Property Ledger Cards were still not being maintained for each category of assets and land, respectively;(c) PPE accounts, with a carrying amount of P35,380,908.63, have unreconciled balances between the Statement of Financial Position and Lapsing Schedule by P3,070,355.36. Hence, are not in consonance with paragraph 27 of International Public Sector Accounting Standards.

D. Summary of Significant Observations and Recommendations:

The following are among the Audit Team's significant audit observations and recommendations:

1. Advances to Special Disbursing Officers and Advances to Officers and Employees accounts, which pertain mainly to cash advances granted in the previous years, have outstanding balances of P9,265,248.50 and P327,999.53, respectively, hence, these cash advances have remained unliquidated for a period of time, which is not in adherence with Section 89 of Presidential Decree (PD) No. 1445 and pertinent provisions of COA Circular No. 97-002 dated February 10, 1997

   We recommended that the Municipal Accountant direct the accountable officers to liquidate/settle the long outstanding cash advances in compliance with the regulations of COA Circular 97-002 and PD 1445. In addition, additional cash advance shall not be granted to any officials and employees unless the previous cash advance given is first settled or a proper accounting thereof is made.

2. The Cash-Local Treasury account has an outstanding balance amounting to P1,466,729.85 as a result of the accumulation of collections that were not deposited immediately to the authorized depository bank, which is not in consonance with Section 123 of Presidential Decree 1445 (PD) and Section 62(C) of the Local Treasury Operations Manual, hence, may expose the cash to the risk of possible theft, misapplication and loss of government funds.

   We recommended that the Municipal Accountant and the Municipal Treasurer strengthen the control measures over the cash/collections to prevent accumulation of the undeposited collections in compliance with Section 62 (C) of the Local Treasury Operations Manual.

3. No journal entries were prepared to properly adjust the various reconciling items noted in the Bank Reconciliation Statements and the existence of closed bank account, thus, affecting the fair presentation of the Cash in Bank-Local Currency account by P571,641.70 in the financial statements, which is not in accordance with paragraph 27 of International Public Sector Accounting Standards.

We recommended that the Municipal Accountant prepare the necessary adjusting entries for the identified reconciling items to present the correct balance of Cash in Bank-Local Currency account in the financial statements.

4. The amount of P1,463,780.49 or 48%, of the total P3,050,035.47 balance of Accounts Payable, has remained outstanding for more than two (2) years, thereby casting doubt on the validity and accuracy of the balance of the account in the Financial Statements.

   We recommended that the Municipal Accountant locate and reconcile the records to determine the existence of long outstanding payables with no claimants for more than 2 years and to ensure that the balance of the Accounts Payable are supported with sufficient evidence.

5. The Bids and Awards Committee resorted to Small Value Procurement for the purchases of similar items requisitioned at about the same time instead of consolidating the same into one procurement undertaking, which may pose weakness in the procurement planning hence, the prices obtained may not be the most advantageous to the Municipality and volume discounts inherent to public bidding were not properly availed.

   We recommended that the Bids and Award Committee: (a) consider adopting the strategy of consolidating similar items or projects to be procured into a single undertaking upon submission by the different implementing units of their updated/revised PPMPs to properly plan procurement activities with the objective of possibly complying with Rule IV of the IRR, RA 9184, that all procurement shall be done through competitive bidding, except in meritorious cases, for possible availment of volume discount for bulk purchases and savings on supplies and manpower; and (b) to resort only to alternative modes of procurement if the conditions are met under Rule XVI of the Act.

E. Summary of total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	P -	P -	P -	P -	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	1,317,423.86	-	1,317,423.86	-	100%
Current Years	-	-	-	-	-
Total	**1,317,423.86**	**-**	**1,317,423.86**	**-**	**100%**
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	**P -**	**P -**	**P -**	**P -**	-

The total disallowance was fully settled during the year.

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 25 audit recommendations in the CY 2018 Annual Audit Report, nine (9) were implemented, 11 were partially implemented and five (5) were not implemented and reiterated in Part II of this Report.